agriculture sector, coal, crude oil and ‘other minerals and metals’ in the mining and exploration sector, steel, petroleum (refinery and marketing), fertilizers, chemicals and pharmaceuticals, heavy and medium engineering, transportation vehicle and equipment, industrial and consumer goods, textiles and power generation in the manufacturing, processing and generation sector and power transmission, trading and marketing, transport and logistics, contract and construction and technical advisory services, hotel and tourist services, financial services and telecommunication and IT in the services sector.

The phoney nature of the strategic and non-strategic sector debate becomes apparent when one looks at the first question: Is any sector truly strategic from the perspective of the economy or CPSEs? The economy-wide approach to identify strategic sectors has been abandoned in the past thirty years, with good results. In each of the twenty groups recorded in the CPSE survey, the private sector has emerged strongly with the public sector fast losing market share. Therefore, the presence of CPSEs cannot serve any exclusive national objective in any of these economic sectors. Therefore, there cannot be any further classification of any sector as strategic from the economy’s perspective.

Can some sectors be strategic from the CPSE perspective? No CPSE wants to be privatized. If you ask the management of CPSEs and the administrative ministries that control them, they would like their sector to be classified as strategic, not from any strategic angle but simply to ward off the possibility of sale. The Ministry of Power would argue that power generation, power transmission and even power distribution are all strategic. PSBs, even when they have been lending to industry and infrastructure and are increasingly getting drowned in non-performing loans, would also argue that banking is a strategic sector. They would be duly supported by the Department of Financial Services. When the government has permitted private-sector refiners and is offering BPCL,